RBI Monetary Policy Transmission - Sample Extract

Purpose of this sample document

This text-based PDF is created for testing a Retrieval-Augmented Generation (RAG) knowledge assistant. It contains policy-style information about rate transmission, lending rates, deposit rates, and related banking indicators. It is intended as a compact evaluation document for PDF ingestion, chunking, retrieval, citations, and abstention tests.

Note: This is a sample study document based on policy-style content. It is not a complete official RBI report. Use it to test whether a RAG system can answer grounded questions with source excerpts.

Section 1: Policy Rate Movement

During the current easing cycle from February 2025, the policy rate transmission continued into the second half of 2025-26. A policy rate cut of 25 basis points in December 2025 took the cumulative reduction in the policy rate to 125 basis points. The transmission was visible through changes in lending rates and deposit rates, although the pace and direction differed across fresh and outstanding balances.

Section 2: Lending Rate Transmission

The median one-year marginal cost of funds-based lending rate (MCLR) of scheduled commercial banks declined by 20 basis points in H2:2025-26. The weighted average lending rate (WALR) on fresh rupee loans increased by 5 basis points up to February 2026. This increase mainly reflected a compositional shift in loan volumes toward sectors that carried relatively higher interest rates. In contrast, the WALR on outstanding rupee loans declined by 26 basis points, showing a clearer pass-through to existing loan books.

Section 3: Deposit Rate Transmission

On the deposit side, the weighted average domestic term deposit rate (WADTDR) on outstanding deposits declined by 20 basis points in H2:2025-26 up to February 2026. However, the WADTDR on fresh deposits firmed up by 4 basis points during the same period. The mixed movement reflected the interaction of easing policy rates, sustained credit demand, and competition among banks for fresh deposits.

Section 4: Indicator Summary

- Policy rate: cumulative reduction of 125 basis points, including a 25 basis point cut in December 2025.
- Median one-year MCLR: declined by 20 basis points in H2:2025-26.
- WALR on fresh rupee loans: increased by 5 basis points up to February 2026 because lending shifted toward higher-rate sectors.
- WALR on outstanding loans: declined by 26 basis points, showing stronger pass-through to existing loan books.
- WADTDR on outstanding deposits: declined by 20 basis points, indicating softer rates on existing deposits.
- WADTDR on fresh deposits: increased by 4 basis points as banks competed for fresh funds.

Section 5: How To Interpret The Transmission

Rate transmission does not always move uniformly across all banking products. Fresh loan rates can rise even during an easing cycle if new lending is concentrated in sectors with higher risk or higher pricing. Outstanding loan rates may decline faster because existing loans get repriced through benchmark-linked or reset-based mechanisms. Similarly, fresh deposit rates can remain firm when banks need to attract new deposits to support credit demand, while rates on outstanding deposits may decline as older deposits mature and reprice.

Section 6: Key Points For Retrieval Testing

- The policy rate was reduced cumulatively by 125 basis points during the easing cycle.
- The December 2025 policy action included a 25 basis point rate cut.
- Median one-year MCLR declined by 20 basis points in H2:2025-26.
- Fresh rupee loan WALR increased by 5 basis points because of a compositional shift toward higher-rate sectors.
- Outstanding loan WALR declined by 26 basis points, showing stronger pass-through to existing loans.
- Outstanding deposit WADTDR declined by 20 basis points, while fresh deposit WADTDR increased by 4 basis points.
- The document does not discuss stock prices, cricket scores, weather forecasts, or company CEOs.

Section 7: Suggested Evaluation Coverage

This document supports answerable questions about policy rate reduction, lending-rate movement, deposit-rate movement, and differences between fresh and outstanding loans or deposits. It also supports multi-evidence questions that compare lending and deposit transmission. Questions about unrelated current events should be treated as unavailable because this document does not contain that information.

Section 8: Limitations Of This Sample

The sample is intentionally compact. It is designed to test extraction, chunking, retrieval, citation snippets, abstention, and evaluation flow. It should not be used as a complete macroeconomic source. For production use, ingest the full official report and add OCR only if scanned pages are present.